

business—and the best thing to buy is the thing that expands and improves your business, the thing you understand better than anyone.

But there are times when the neighbors really don't see the value in an investment. Sometimes they have been discouraged by losses. Sometimes they have lost faith. And sometimes they are wrong. Sometimes the whole market fails to see the real value in an investment. Sometimes people are just too *desilusionado*.

Remember, market psychology is often bipolar. Sometimes it is manic. Sometimes it is depressive.

Another simple rule: When it is depressive, buy. When it is manic, sell. You want to buy what no one tries to sell you from buyers who are completely discouraged. You want to buy things that mark you as a bit of a nut. Friends look at you with pity. Relatives doubt your sanity. And when you're really buying a good investment, you wonder yourself.

STAY AWAY FROM “CONSERVATIVE” INVESTMENTS

Successful Old Money does not invest the way most people expect it to. To put it another way, if you put Old Money into “conservative” investments, pretty soon it will be Dead Money.

Yet smart, professional wealth managers will tell you to do just that. Why? Because wealth managers are typically crowd followers. And parasites. And if you're trying to hold onto money over more than one generation, you can't afford either.

You can follow the crowd and make money for a year, two years, maybe even 20 years. But the crowd goes over a cliff about once in a generation. If you're trying to hold on to money for more than a generation, crowd following won't do it.

An investor who lived through the entire twentieth century probably would have gone broke at least three times. Maybe more. Let's begin by